

Pondy Oxides and Chemicals Limited

Sector: Metal recycling (Lead, Copper, Aluminium, Plastics)

08 September, 2026 · Data as of 08-September-2026, 00:38hrs

NOT RATED

Key Changes		Target		Rating	Earnings
Stock Type	Bloomberg Code	Sensex	NSE Code	BSE Code	Time Frame
—	—	N/A	POCL	532626	—

Target	N/A
CMP	Rs. 1371.9
Return	N/A

Company Data			
Market Cap (₹ Cr)	4127.63		
52W High/Low	1360 / 490		
Shares O/S (Cr)	3.0511279		
Free Float (%)	60.66		
Price Chart			
			
Y.E March (₹ Cr)	FY-1	FYc	FYn
Sales	20283.0	N/A	N/A
EBITDA	1076.0	N/A	N/A
EBITDA Margin (%)	5.3	N/A	N/A
PAT (Adjusted)	651.0	N/A	N/A
RoE (%)	11.0	N/A	N/A
D/E	0.11	N/A	N/A

Record Q2 on lead volume ramp-up; margins hit 8.7%; investor presentation, NOT RATED

Pondy Oxides and Chemicals (POCL) is a Chennai-headquartered non-ferrous metal recycler operating four verticals — lead (168 KTPA), aluminium (12 KTPA), plastics (9 KTPA) and copper (6 KTPA). India's first 3N7 LME-registered lead brand, it recycles 140K+ MT scrap annually, serving battery and automobile OEMs across 20+ export destinations.

- Key Highlights**
- Q2FY26 standalone revenue rose 11% YoY to Rs. 6,345 Mn; EBITDA up 84% to Rs. 551 Mn and PAT up 105% to Rs. 356 Mn — the company's highest-ever quarterly numbers.
 - EBITDA margin expanded to 8.7% in Q2FY26 from 5.2% in Q2FY25 and 7.2% in Q1FY26; PAT margin improved to 5.6% from 3.0%.
 - H1FY26 revenue grew 22% YoY to Rs. 12,307 Mn, EBITDA 83% to Rs. 981 Mn and PAT 98% to Rs. 631 Mn; H1 EBITDA margin at 8.0%.
 - Diluted EPS at Rs. 11.66 in Q2FY26 versus Rs. 6.47 a year ago (+80%); H1FY26 EPS Rs. 20.69 vs Rs. 11.93.
 - Phase 1 of the TKD lead expansion (36,000 MTPA) commissioned commercially in April'25; Phase 2 of 36,000 MTPA expected in H2FY26, taking lead capacity to 204,000 MT p.a.
 - Balance sheet strengthened: net worth Rs. 6,953 Mn at 30 Sep'25 vs Rs. 5,975 Mn at Mar'25; short-term borrowings cut to Rs. 318 Mn from Rs. 1,001 Mn; cash of Rs. 1,061 Mn.

Shareholding (%)	Q-2	Q-1	Latest
Promoters	N/A	N/A	39.34
Public	N/A	N/A	60.66
Total	N/A	N/A	100.0

Price Performance (%)	
— No data available —	

Outlook & Valuation

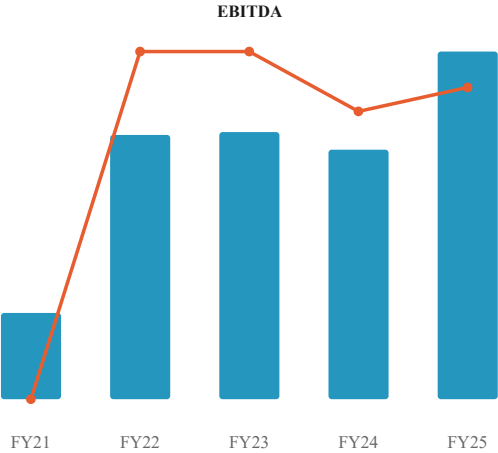
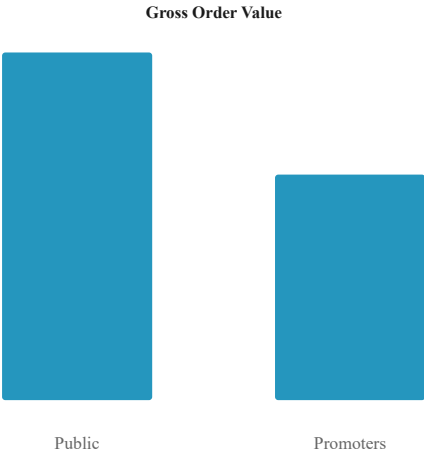
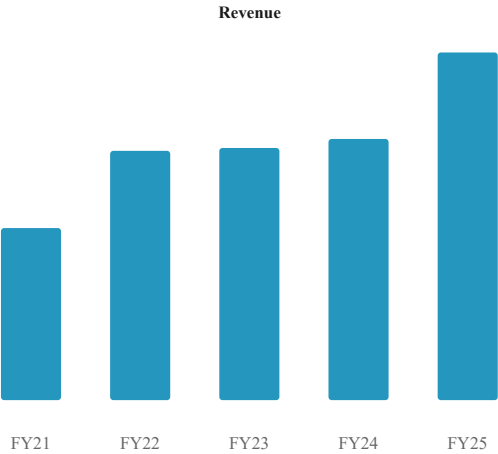
POCL enters H2FY26 with the first 36,000 MTPA TKD lead line fully operational and Phase 2 of equal size slated for commissioning within the second half, lifting installed lead capacity towards 204,000 MT p.a. Management attributes H1 performance to higher lead and copper production and sales volumes, with lead EBITDA/ton nearly 50% higher YoY, and points to a healthy net cash position, planned H2 capex of Rs. 35 Cr and tightening EPR/BWMR regulation as supports for its Target 2030 goals of 20%+ revenue CAGR and 8%+ EBITDA margins. Risks flagged in the document include fiscal policy, competition, inflationary pressure and domestic/international price conditions; the business also remains import-dependent for 86% of lead scrap procurement. This is a company investor presentation and contains no analyst recommendation or valuation opinion; accordingly we assign NOT RATED with no target price.

Quarterly Financials (₹ Cr)	Q Current	Q YoY	YoY %	Q QoQ	QoQ %
Sales	6345.0	5724.0	10.85	5962.0	6.42
EBITDA	551.0	300.0	83.67	431.0	27.84
Margin (%)	8.7	5.2	N/A	7.2	N/A
PBT	479.0	233.0	N/A	366.0	N/A
Reported PAT	356.0	174.0	N/A	276.0	N/A
Adjusted PAT	356.0	174.0	N/A	276.0	N/A
Adjusted EPS	11.66	6.47	N/A	9.54	N/A



Key highlights

- Profitability was driven by lead unit economics rather than tonnage: Q2FY26 lead EBITDA per ton rose to Rs. 19,970 from Rs. 12,304, while lead sales volume was 24,878 MT versus 25,294 MT a year ago. H1FY26 lead production rose to 50,475 MT (H1FY25: 46,855 MT) and sales to 47,408 MT.
- Finance cost fell 66% YoY to Rs. 13 Mn in Q2FY26 (H1FY26: Rs. 43 Mn, -30%) on debt reduction, while depreciation rose 117% YoY to Rs. 58 Mn as the expanded lead capacity was capitalised — PPE rose to Rs. 1,883 Mn from Rs. 1,189 Mn with CWIP falling to Rs. 112 Mn.
- Capex of Rs. 14 Cr was incurred in H1FY26, with a further Rs. 35 Cr estimated for H2FY26; the roadmap includes Mundra (Gujarat) expansion in 2026-27 and feasibility work on lithium-ion, plus pre-feasibility on rubber and e-waste.
- Regulatory tailwinds: EPR compliance targets for producers step up to 80-90% for portable and EV batteries by 2025-26, BWMR norms and GST reverse-charge on metal scrap should improve domestic scrap availability and level the playing field for organised recyclers.
- Management's Target 2030 framework seeks 20%+ revenue CAGR, 15%+ volume growth, 8%+ EBITDA margins, 20%+ ROCE and 60%+ revenue from value-added products; FY25 ROE stood at 11% and net debt/equity at 0.11x.



Change in Estimates

Metric	Old Estimates		New Estimates		Change (%)	
	FYc	FYn	FYc	FYn	FYc	FYn

— No data available —

Consolidated Financials

Profit & Loss					
Y.E March (₹ Cr)	FY-2	FY-1	FYc(A)	FYc(E)	FYn(E)
Sales	14717.0	15238.0	20283.0	N/A	N/A
Sales Growth (%)	N/A	3.54	33.11	N/A	N/A
EBITDA	827.0	772.0	1076.0	N/A	N/A
EBITDA Growth (%)	N/A	-6.65	39.38	N/A	N/A
Depreciation	101.0	92.0	112.0	N/A	N/A
Interest	68.0	164.0	116.0	N/A	N/A
Other Income	43.0	46.0	37.0	N/A	N/A
PBT	658.0	516.0	847.0	N/A	N/A
PBT Growth (%)	N/A	-21.58	64.15	N/A	N/A
Tax	166.0	121.0	197.0	N/A	N/A
Reported PAT	492.0	395.0	651.0	N/A	N/A
PAT Attributable	492.0	395.0	651.0	N/A	N/A
Adjusted PAT	492.0	395.0	651.0	N/A	N/A
PAT Growth (%)	N/A	-19.72	64.81	N/A	N/A

Cashflow					
Y.E March (₹ Cr)	FY-2	FY-1	FYc(A)	FYc(E)	FYn(E)
Closing Cash	2.0	298.0	397.0	N/A	N/A

Balance Sheet					
Y.E March (₹ Cr)	FY-2	FY-1	FYc(A)	FYc(E)	FYn(E)
Cash	2.0	298.0	397.0	N/A	N/A
Accounts Receivable	992.0	1012.0	1267.0	N/A	N/A
Inventories	1510.0	1239.0	2322.0	N/A	N/A
Other Current Assets	332.0	247.0	608.0	N/A	N/A
Investments	N/A	N/A	400.0	N/A	N/A
Net Fixed Assets	959.0	1136.0	1189.0	N/A	N/A
CWIP	70.0	83.0	747.0	N/A	N/A
Intangible Assets	N/A	N/A	11.0	N/A	N/A
Deferred Tax (Net)	N/A	N/A	48.0	N/A	N/A
Other Assets	476.0	607.0	677.0	N/A	N/A
Total Assets	4341.0	4698.0	7313.0	N/A	N/A
Current Liabilities	N/A	N/A	1297.0	N/A	N/A
Provisions	N/A	N/A	38.0	N/A	N/A
Debt Funds	1420.0	945.0	1031.0	N/A	N/A
Other Liabilities	379.0	205.0	307.0	N/A	N/A
Equity Capital	116.0	126.0	141.0	N/A	N/A
Reserves & Surplus	2425.0	3422.0	5835.0	N/A	N/A
Shareholder Funds	2541.0	3548.0	5975.0	N/A	N/A
Total Liabilities	4341.0	4698.0	7313.0	N/A	N/A

Ratio					
Y.E March	FY-2	FY-1	FYc(A)	FYc(E)	FYn(E)
Profitab. & Return					
EBITDA Margin (%)	5.6	5.1	5.3	N/A	N/A
Net Profit Margin (%)	3.3	2.6	3.2	N/A	N/A
RoE (%)	19.0	11.0	11.0	N/A	N/A
W.C & Liquidity					
Receivable Days	37.0	33.0	32.0	N/A	N/A
Inventory Days	23.0	24.0	21.0	N/A	N/A
Payable Days	2.0	2.0	3.0	N/A	N/A
Interest Coverage	10.61	4.16	8.28	N/A	N/A
Adj. D/E	0.56	0.18	0.11	N/A	N/A

Recommendation Summary (last 3 years)

Dates	Rating	Target
— No prior recommendation history available —		

Data not available

Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	-	Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0% - 10%	Upside is between 0%-10%	Upside is between 0%-10%
Reduce/sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%

Not rated/Neutral

Definition:

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Symbol definition:

▲ Upgrade ● No Change ▼ Downgrade

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Analyst: —

Date: 08 September, 2026